



AI Governance Policy & Framework

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1. Objective:

- 1.1 This policy shall establish a governance and control framework for the responsible, transparent, and ethical use of Artificial Intelligence (AI) technologies at PCL and ensure that all AI systems and initiatives support business objectives while maintaining operational integrity, compliance, data privacy, and public trust. This policy shall promote the safe adoption of AI in line with corporate ethics, regulatory expectations, and PCL's information security and data management standards.

This policy also promotes the ethical and transparent use of AI and automation across all business operations, in alignment with PCL's **Code of Conduct**, particularly the principles related to 'Confidentiality', PCL's **Social Media Policy** and with PCL's **IT Acceptable Use Policy**.

2. Scope:

- 2.1 This policy shall apply to, but not limited to:
- All business functions, departments, and subsidiaries of PCL that use, develop, or procure AI-based systems.
 - All employees, contractors, vendors, consultants, and partners involved in the design, implementation, or operation of AI solutions.
 - All AI and automation technologies including:
 - Predictive analytics, machine learning (ML), and data modeling systems.
 - Generative AI tools (e.g., ChatGPT, Copilot, Gemini, etc.).
 - Decision-support and optimization algorithms (e.g., maintenance, planning, quality control).
 - Robotic Process Automation (RPA) and smart workflow systems integrated into business operations.

3. Applicability:

- 3.1 This policy applies to all internal or external users who utilize or are granted access to the company's IT assets, systems, or resources regardless of location, including remote and hybrid work environments, and covers both company-owned and personally owned devices used for company purposes authorized under 'Bring Your Own Device (BYOD)' clause of PCL's Information Technology Policies & Procedures Manual-End Users.

4. Potential Risks in AI Adoption:

AI systems, if not properly governed, may introduce the following organizational risks:

Risk Category	Description / Example
Operational	Inaccurate or uncontrolled AI decisions affecting core operations (e.g., production scheduling, maintenance prediction).



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Data Integrity	Biased or low-quality training data leading to unreliable outputs.
Cybersecurity & Privacy	Unauthorized access, data leaks, or tampering with AI systems.
Compliance	AI-generated actions conflicting with regulatory, labor, or ethical standards.
Reputational	Damage to brand trust due to opaque, unfair, or incorrect AI outcomes.

5. Governance Structure:

5.1 AI Governance Committee (AIGC)

- 5.1.1 An AI Governance Committee (AIGC) shall be established under the authority of the CEO. The AIGC ensures proper oversight, accountability, and ethical alignment of all AI activities.

5.2 AIGC Composition

- 5.2.1 All members of IT Steering Committee(ITSC) will be active member of AIGC.

5.3 AIGC Responsibilities

AIGC shall:

- 5.3.1 Approve and monitor all AI-related initiatives and use cases.
- 5.3.2 Maintain an AI Risk Register.
- 5.3.3 Ensure alignment with internal policies (IT, Security, Data, and HR).
- 5.3.4 Review AI lifecycle controls (design, training, deployment, and monitoring).
- 5.3.5 Conduct annual independent audits of AI systems.
- 5.3.6 Approve or reject high-risk AI deployments after due diligence.



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6. AI Governance Framework:

The AI Governance Framework is structured around the following lifecycle control domains:

6.1 Design & Planning

- 6.1.1 All AI initiatives shall undergo a business case review by the AIGC
- 6.1.2 Risk assessments shall be performed before model development or data training begins.
- 6.1.3 Training data shall comply with PCL's IT Acceptable Use Policy
- 6.1.4 Ethical design principles — fairness, explainability, accountability — shall be applied.
- 6.1.5 AI systems must not autonomously make critical decisions affecting employees, customers, or business operations without human oversight.

6.2 Development & Testing

- 6.2.1 AI models must be developed or procured under secure and approved environments
- 6.2.2 Testing shall include:
 - Accuracy and performance validation
 - Bias and fairness assessment
 - Security and privacy testing
- 6.2.3 AI outputs should be explainable to non-technical stakeholders.
- 6.2.4 Test documentation must be maintained for audit readiness.

6.3 Deployment & Operations

- 6.3.1 Only AIGC-approved AI models can be deployed into production.
- 6.3.2 Integration with business systems must include:
 - Version control and audit logs
 - Access control and monitoring
 - Data lineage traceability
- 6.3.3 Periodic monitoring must confirm that AI decisions remain within acceptable thresholds.

6.4 Monitoring & Performance Review

- 6.4.1 All AI tool usage must maintain audit logs or traceability to ensure accountability.
- 6.4.2 AI system performance must be reviewed quarterly for:
 - Accuracy and reliability



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- Compliance with regulations and ethical standards
- Alignment with business outcomes

6.4.3 Results of reviews should be submitted to the AIGC for review and action.

6.5 Incident & Risk Management

- 6.5.1 All AI-related incidents (data leakage, model drift, bias discovery, or security breaches) must be logged and reported immediately to ITSC and AIGC.
- 6.5.2 A Corrective Action Plan (CAP) must be documented and implemented.
- 6.5.3 AI risk logs and controls must be reviewed in semi-annual audits

6.6 Decommissioning / Retirement

- 6.6.1 When an AI system reaches end-of-life or is replaced, all data, configurations, and models must be securely archived or destroyed as per Data Retention Policy
- 6.6.2 The AIGC must approve all AI decommissioning actions

7. Data, Ethics, and Compliance

- 7.1 All AI systems must adhere to PCL's Information Security, Data Protection, and Acceptable Use Policies.
- 7.2 Personally Identifiable Information (PII) must be masked, anonymized, or excluded unless explicitly approved by Legal and IT Security.
- 7.3 AI outputs impacting people (e.g., performance, recruitment, promotion) require human validation before implementation.
- 7.4 Any third-party AI vendor must sign a Data Protection & Confidentiality Agreement.
- 7.5 All AI-generated responses are prohibited during reputational crises unless reviewed by Communications and Legal
- 7.6 All AI-generated marketing content must be reviewed and approved by the Marketing Department before publication.
- 7.6.1 AI tools used in customer engagement must be trained on brand-safe data and tested for tone, clarity, and cultural sensitivity.
- 7.6.2 AI-generated public content must include disclaimers or indicators where appropriate to maintain transparency
- 7.6.3 Marketing teams must maintain audit logs of AI-generated campaigns and customer interactions for review by AIGC

8. Enforcement & Review

- 8.1 PCL reserves the right to monitor, review, and retain all data transmitted through corporate systems for security and compliance purposes.
- 8.2 Policy violations will be investigated following PCL's Disciplinary and Incident Response procedures.



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- 8.3 Non-compliance with this policy shall result in suspension of the AI initiative, disciplinary action, or termination of vendor contracts.
- 8.4 AIGC shall review this policy annually to ensure alignment with evolving regulations, ethics, and technological advances.
- 8.5 Any exceptions to this policy shall require prior written approval from the Chief Executive Officer (CEO).

A handwritten signature in blue ink, appearing to be 'Shahid', is written over a horizontal line.

APPROVED BY
CHIEF EXECUTIVE OFFICER